

R&J WOOD TRADING

VITREX · Tropical Hardwood & Botanical Sourcing

REGULATORY BRIEFING

The Definitive Guide to EUDR Compliance in Tropical Hardwoods

Due diligence, geolocation and supply-chain readiness ahead of 30 December 2026

PREPARED FOR

Procurement Managers · Chief Sustainability Officers · Compliance Officers — European construction firms and timber importers

Technical Whitepaper · Edition 2026.1 · R&J Wood Trading / Vitrex

Contents

- 1. Executive Summary**
- 2. The Regulation in Brief: Scope, Timeline and Penalties**
 - 2.1 What is covered
 - 2.2 The timeline that actually applies
 - 2.3 Why the penalty regime concentrates the mind
- 3. The Three Pillars of Due Diligence**
 - 3.1 Pillar One — Information Gathering (Article 9)
 - 3.2 Pillar Two — Risk Assessment (Article 10)
 - 3.3 Pillar Three — Risk Mitigation (Article 11)
- 4. Why Geolocation Matters: From Stump to Shipment**
 - 4.1 What the data must look like
 - 4.2 The traceability chain
- 5. The Role — and the Limits — of Certification**
- 6. The R&J Wood Trading Solution**
 - 6.1 PEFC chain of custody and the PEFC EUDR DDS module
 - 6.2 What we deliver to the buyer
 - 6.3 How this maps onto your obligations
- 7. A Pragmatic Readiness Checklist**

1. Executive Summary

The European Union Deforestation Regulation (**Regulation (EU) 2023/1115**, the “EUDR”) is the most consequential change to the legal basis for placing timber on the EU market since the EU Timber Regulation of 2013. For importers of tropical hardwoods, the stakes are concrete: goods that cannot be backed by a valid due diligence statement may be refused entry, seized, or withdrawn from the market, and operators face fines of **at least 4% of total annual EU-wide turnover** in the financial year of the penalty decision.

Two facts frame everything that follows. First, the timeline has moved. Following Regulation (EU) 2025/2650 — published in the Official Journal on 23 December 2025 — the core obligations now apply from **30 December 2026** for large and medium operators, and from **30 June 2027** for micro and small operators. This is additional preparation time, not a reprieve: the substantive obligations are unchanged.

Second, country risk matters but does not exempt anyone. Under the Commission’s benchmarking adopted on 22 May 2025, **Malaysia is classified as “standard risk.”** Standard-risk origin means the *full* three-stage due diligence procedure applies — information gathering, risk assessment and risk mitigation — with no access to the simplified route reserved for low-risk countries.

What this means in one line: Every shipment of tropical hardwood entering the EU must be deforestation-free (produced on land not deforested after 31 December 2020), legally produced, and covered by a Due Diligence Statement filed in the EU TRACES system before the goods are placed on the market.

This paper sets out exactly what the regulation requires, why plot-level geolocation has become the centre of gravity for compliance, and how R&J Wood Trading’s traceability and PEFC chain-of-custody systems are structured to give EU buyers the evidence base they need. We are deliberate on one point throughout: **no certificate is a legal substitute for due diligence.** Certification is powerful supporting evidence. We treat it that way — and so should the regulator.

2. The Regulation in Brief: Scope, Timeline and Penalties

2.1 What is covered

The EUDR applies to seven commodities — cattle, cocoa, coffee, oil palm, rubber, soy and wood — and to a broad list of derived products. For the hardwood trade this captures sawn timber, flooring, decking, veneers, plywood, joinery and furniture, identified by their CN/HS customs codes in Annex I. Any operator who places these products on the EU market for the first time, or exports them from the EU, falls within scope.

To be lawfully placed on the market, a product must satisfy three cumulative conditions: it must be **deforestation-free, produced in accordance with the relevant legislation of the country of production, and covered by a due diligence statement.** The deforestation-free test is anchored to a cut-off date of **31**

December 2020: the commodity must originate from land that was not subject to deforestation or forest degradation after that date.

2.2 The timeline that actually applies

Milestone	Date	Significance
Entry into force	29 June 2023	Regulation (EU) 2023/1115 adopted.
Country benchmarking adopted	22 May 2025	Malaysia, Indonesia and Brazil placed in “standard risk.”
Amending regulation published	23 Dec 2025	Regulation (EU) 2025/2650 confirms one-year delay and simplifications.
Application — large & medium operators	30 Dec 2026	Full obligations, including DDS, become enforceable.
Application — micro & small operators	30 Jun 2027	Including those previously under the EU Timber Regulation.
Commission simplification review	by 30 Apr 2026	May produce further targeted changes before application.

Sources: Regulation (EU) 2023/1115; Regulation (EU) 2025/2650 (OJEU, 23 Dec 2025); European Commission DG Environment; EU Access2Markets.

A word of caution for planning. The EU Timber Regulation was repealed on 30 December 2025, but timber harvested before 29 June 2023 may continue to be governed by EUTR rules when placed on the market between 30 December 2025 and 30 December 2028. Operators handling older stock should map which regime applies to which lot rather than assuming a single switchover date.

2.3 Why the penalty regime concentrates the mind

Member States set their own penalties, but the regulation fixes the floor. Maximum fines must reach at least 4% of the operator’s, downstream operator’s or trader’s total annual Union-wide turnover. Beyond financial penalties, competent authorities may confiscate the products concerned, confiscate revenues gained from the transaction, and impose temporary exclusion from public procurement and from placing products on the market. For a construction firm or importer, the operational risk — goods immobilised at the border during a project timeline — is often more damaging than the fine itself.

Note on responsibility: Under the 2025 simplifications, the formal Due Diligence Statement is required from the operator who first places the product on the EU market. Many downstream operators and non-SME traders no longer submit their own DDS. This concentrates accountability — and makes the quality of upstream data, the kind R&J supplies, more decisive than ever.

3. The Three Pillars of Due Diligence

Articles 9 to 11 of the EUDR define due diligence as a sequence of three obligations that must be completed *before* a product is placed on the market or exported. They are cumulative: an operator cannot proceed to risk assessment without complete information, and cannot place a product on the market unless residual risk is negligible.

3.1 Pillar One — Information Gathering (Article 9)

The operator must collect, organise and retain a defined set of information for each consignment. For tropical hardwood this means, at minimum:

- Product description, including trade name, product type, common and full scientific name (e.g. *Shorea spp.*, *Intsia palembanica*).
- Quantity, expressed in net mass and, where relevant, volume or number of units; the amended regulation also requires an estimated annual quantity in certain cases.
- Country — and where required, region — of production.
- **Geolocation** of all plots of land where the timber was harvested, with the date or time range of harvest.
- Documentary evidence that production was lawful under the country of production's applicable laws (harvesting rights, forest-management and concession law, environmental and labour law, trade and customs rules).

Records must be kept for five years and made available to competent authorities on request.

3.2 Pillar Two — Risk Assessment (Article 10)

The operator must then assess the risk that the products are non-compliant — that is, the risk that they are linked to deforestation or to illegal production. The regulation lists the criteria that must inform this assessment, including the country (and region) risk classification, the presence of forests at the source, the prevalence of deforestation in the area, the complexity of the supply chain, and the risk of mixing with products of unknown origin. The assessment must be documented, reviewed at least annually, and conclude that risk is negligible before the operator may proceed.

Standard-risk origin in practice. Because Malaysia is standard-risk, importers cannot skip this pillar. The Commission has signalled that some standard-risk countries near the lower end of the tier may face qualitative scrutiny. The practical answer is not to argue about classification but to make the assessment easy to close: precise polygons, clean legality documents, and a short, traceable chain. That is what reduces a regulator's residual concern to negligible.

3.3 Pillar Three — Risk Mitigation (Article 11)

Where risk assessment finds anything more than negligible risk, the operator must apply mitigation measures until residual risk becomes negligible — additional information, additional independent

surveys or audits, supplier capacity-building, or simply declining to source from a given plot. Only once risk is negligible may a Due Diligence Statement be submitted and the product placed on the market.

How the pillars assemble into a DDS

The Due Diligence Statement itself is filed electronically through the EU Information System built on the TRACES platform. It carries the operator's identity (and EORI number where applicable), the product and quantity, the geolocation data, and a declaration that due diligence has been exercised and that risk is negligible. On submission the operator receives a DDS reference number, which then accompanies the customs declaration. Supporting evidence — including certificates and survey reports — is held for inspection rather than uploaded in full.

4. Why Geolocation Matters: From Stump to Shipment

Geolocation is the single most operationally demanding requirement in the regulation, and the one most likely to trip up a supply chain that was “EUTR-ready” but not “EUDR-ready.” The EUTR asked operators to assess risk; the EUDR asks them to **point to the ground**. Each consignment must be tied to the coordinates of the plots where the trees were felled.

4.1 What the data must look like

- Point coordinates (latitude, longitude to at least six decimal places) for plots up to four hectares; **polygons** delineating the boundary for larger plots.
- Coordinates that correspond to the actual harvest area — a forest concession compartment, not a district centroid or an administrative region.
- Association of each plot with the specific consignment, so that a regulator can trace a given pack of decking back to defined ground.

Once plots are geolocated, they can be screened against global forest-cover datasets to confirm that no deforestation occurred after the 31 December 2020 cut-off. This is the mechanism by which a documentary claim of “deforestation-free” becomes a testable, satellite-verifiable assertion.

4.2 The traceability chain

In practice, “stump to shipment” means an unbroken evidentiary chain across the following hand-offs, each of which must preserve the link between physical material and its plot of origin:

1. Harvest — felling coordinates recorded against a licensed concession compartment.
2. Forest landing and transport — log identification carried forward on transport documentation.
3. Mill intake — incoming logs reconciled to source plots; chain-of-custody segregation maintained.
4. Processing and grading — sawn output linked back to intake batches.
5. Export packing — consignment assembled with a packing list mapped to source plots.
6. DDS and customs — geolocation and legality evidence compiled into the statement filed in TRACES.

The weakest link rule. A supply chain is only as traceable as its least-controlled hand-off. The risk is greatest where material of known origin can be mixed with material of unknown origin — at busy mill intakes and at aggregation points. Robust segregation and chain-of-custody control at those points is what makes the geolocation claim defensible.

5. The Role — and the Limits — of Certification

It is worth being precise, because compliance officers are rightly sceptical of marketing claims: **there is no such thing as an “EUDR certificate.”** EUDR compliance is a regulatory obligation discharged through data, geolocation, risk assessment and a Due Diligence Statement — not a label.

The regulation itself is explicit. Recital 52 and Article 10(2)(n) provide that certification *may* be used as supporting information within the risk assessment. Its use is voluntary, and — critically — it **does not shift responsibility**. The operator must still exercise full due diligence. Certification is not a “green lane” into the EU market.

Used correctly, certification does real work. A credible chain-of-custody scheme delivers verified legality data, independently audited traceability systems, and in many cases the geolocation and supplier information that the risk assessment needs — saving the operator from rebuilding every data point from scratch. The right mental model is: certification accelerates and strengthens due diligence; it never replaces it.

Certification does...	Certification does NOT...
Provide audited evidence of legal harvest	Replace the operator’s legal duty to do diligence
Supply traceability and (often) geolocation data	Exempt standard-risk origin from risk assessment
Streamline and shorten risk assessment	Function as an “EUDR certificate” at the border
Strengthen the negligible-risk conclusion	Remove the need to file a DDS in TRACES

Sources: EUDR Recital 52 and Art. 10(2)(n); PEFC guidance on the EUDR Due Diligence System (PEFC ST 2002-1:2024).

6. The R&J Wood Trading Solution

Our position is straightforward: we structure our sourcing so that an EU buyer’s due diligence is fast to complete and defensible under audit. We do not claim to file your statement for you or to make your legal obligation disappear. We make it easy to discharge.

6.1 PEFC chain of custody and the PEFC EUDR DDS module

R&J operates under PEFC chain-of-custody discipline. We track the dedicated **PEFC EUDR Due Diligence System standard (PEFC ST 2002-1:2024)**, which was developed specifically to help chain-of-custody-certified organisations align with the regulation — collecting geolocation of harvest plots, gathering deforestation-free and legality evidence, conducting risk assessment, applying mitigation, and supporting the creation and upload of Due Diligence Statements to TRACES.

6.2 What we deliver to the buyer

- **Plot-level geolocation** (points and polygons) tied to licensed concessions and matched to each consignment.
- **Species documentation** with full scientific names, supporting accurate Annex I classification.
- **Legality dossier** — harvesting rights, concession and transport documentation evidencing lawful production under Malaysian law.
- **Chain-of-custody records** demonstrating segregation from mill intake to export packing, so the geolocation claim survives scrutiny.
- **A risk-assessment-ready data pack** formatted to the information an EU operator must record under Article 9 and assess under Article 10.

6.3 How this maps onto your obligations

Your EUDR obligation	What R&J supplies	Residual work for the operator
Information (Art. 9)	Geolocation, species, quantity, legality docs	Record in your system; retain 5 years
Risk assessment (Art. 10)	Pre-assembled data pack, CoC evidence	Conclude assessment; document rationale
Risk mitigation (Art. 11)	Additional audits/surveys on request	Confirm residual risk is negligible
Due Diligence Statement	Evidence formatted for TRACES upload	File DDS; carry reference to customs

Illustrative mapping. The operator placing the product on the EU market remains the responsible party for the DDS.

Safe harbour, defined honestly. We use the phrase “safe harbour” to mean something specific: sourcing from R&J gives you complete, audit-ready inputs from a standard-risk origin, assembled to

the structure of the regulation. The legal duty to assess and to file remains yours — but the evidence that makes negligible risk demonstrable is already in your hands.

7. A Pragmatic Readiness Checklist

For procurement, sustainability and compliance teams preparing for the 30 December 2026 application date:

1. Map your product catalogue to Annex I CN/HS codes; confirm which lots are EUDR vs. legacy EUTR stock.
2. Identify, for every supplier, who is the operator placing the product on the EU market — and therefore who files the DDS.
3. Require plot-level geolocation from suppliers now; test that coordinates resolve to real harvest areas.
4. Build a central repository for geolocation, legality documents and risk assessments with a five-year retention rule.
5. Register and rehearse in the TRACES training environment so DDS filing is routine before go-live.
6. Treat certificates as supporting evidence within — not in place of — your documented due diligence.
7. Monitor the Commission's simplification review (due by 30 April 2026) for further changes.

Disclaimer. This whitepaper is provided for general information and does not constitute legal advice. EUDR implementation, country benchmarking and simplification measures continue to evolve; operators should verify current requirements against the consolidated text of Regulation (EU) 2023/1115 as amended by Regulation (EU) 2025/2650 and consult qualified counsel on their specific obligations. R&J Wood Trading / Vitrex is not a law firm.

Key sources. European Commission, DG Environment (Regulation on Deforestation-free Products); Regulation (EU) 2025/2650, OJEU 23 Dec 2025; EU Access2Markets; World Resources Institute; PEFC (EUDR Due Diligence System, PEFC ST 2002-1:2024). Figures and dates current as of publication.